Board of Education Meeting

Budget Update



PORTLAND
Public Schools

February 24, 2026

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

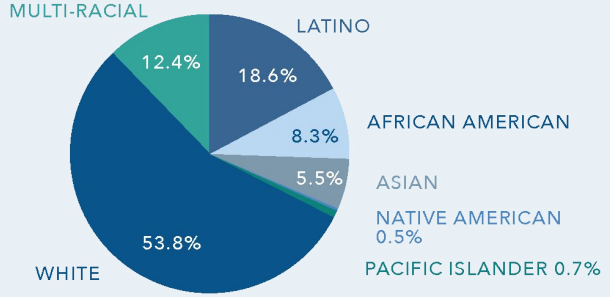
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630	794	356	1,306
STUDENTS IN DISTRICT SCHOOLS	STUDENTS IN COMUNITY BASED PROGRAMS	STUDENTS IN SPECIAL SERVICES PROGRAMS	STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate

TOGETHER, WE *RISE*

WITH **EXCELLENCE.** WITH **PURPOSE.**

Agenda

- Review current year budget assumptions
- Variances since adoption
- Current year-end projection
- Mitigation plans and impacts to schools



Review 2025-26 Budget Assumptions

"Bridging the Gap: Contingencies and Risks"

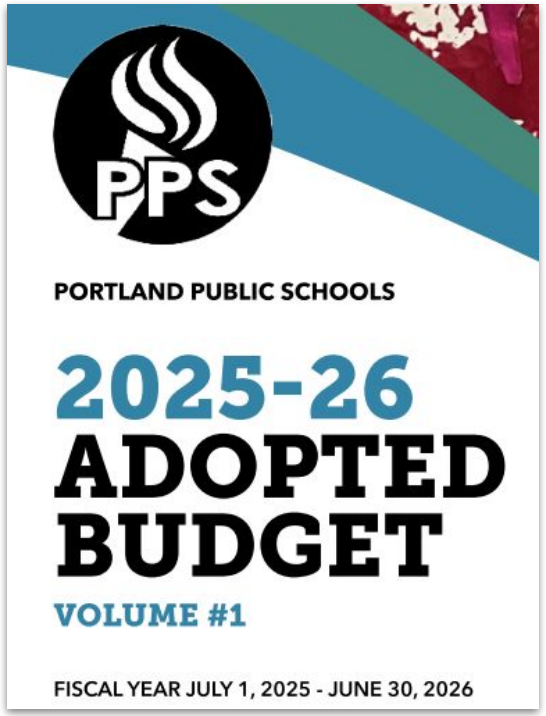
(April 22, 2025 Budget Proposal)

Given the significant budget gap we are facing, it may be necessary to:

- ➔ Maintain a minimal General Fund reserve
- ➔ Draw from the PERS Stabilization Fund (Fund 225)
- ➔ Implement spending restrictions
- ➔ Restrict Central Office hiring

To shield schools from the impacts of reductions as much as possible, we are willing to take these risks.

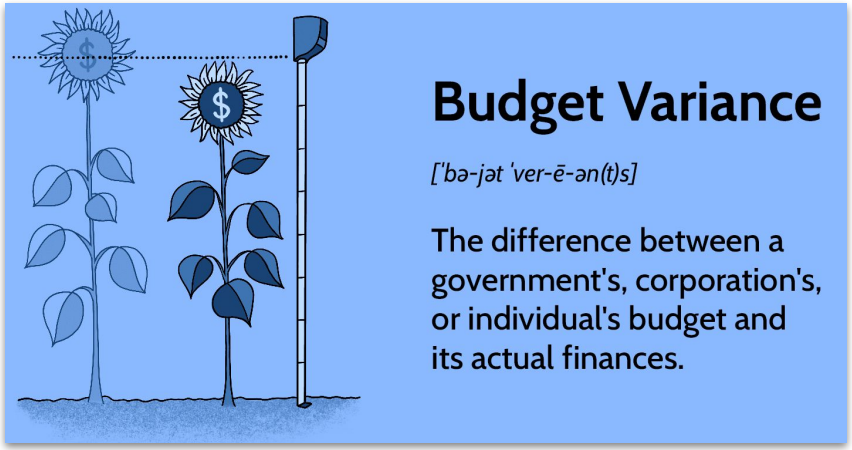
The budget is a *plan*, if our situation changes, this plan would also change.



Variances since Budget Adoption

The primary drivers include the following:

- Vacancy savings not materializing at projected levels
- Higher transportation and maintenance costs
- Unanticipated costs stemming from multiple federal lawsuits
- Services restored during the year without full offset reductions (teacher set-aside, legal requirements)
- $5 million shortfall in the Local Option Levy due to declining commercial property values within the district.
- Expenditures of $2.5 million for seven emergency facility declarations



Current Year-end Projections

- Informed by final closing of the 2024-25 year
- July-December Actuals (budget reconciliation)
- Projected variance of 2.5% (equivalent to $22.5 million)
  - $12.5 million in discretionary savings has been identified
  - There is a $10 million gap remaining

Mitigation Plan and Impact to Schools

Immediate spending controls to close this gap before June 30:

- Continued spending controls on all budgets (consolidated, general fund, federal funds, and state funds)
- Limit substitute and overtime use
- Conduct additional operational expenditure reviews
- Evaluate other balancing strategies
- Cancel the March 2 Professional Development Day (non school day) for designated CSI and TSI schools.



Ongoing 2026-27 Budget Engagement

- Engagement and Outreach
  - Principal Recommendations
  - Union Partners Updates
  - Staff/Educators
  - Community Partners
  - Students and Families
- Preliminary Recommendation for Reductions is under circulation
- Feedback used to inform school staffing
- Transparency Website and Video Series



Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

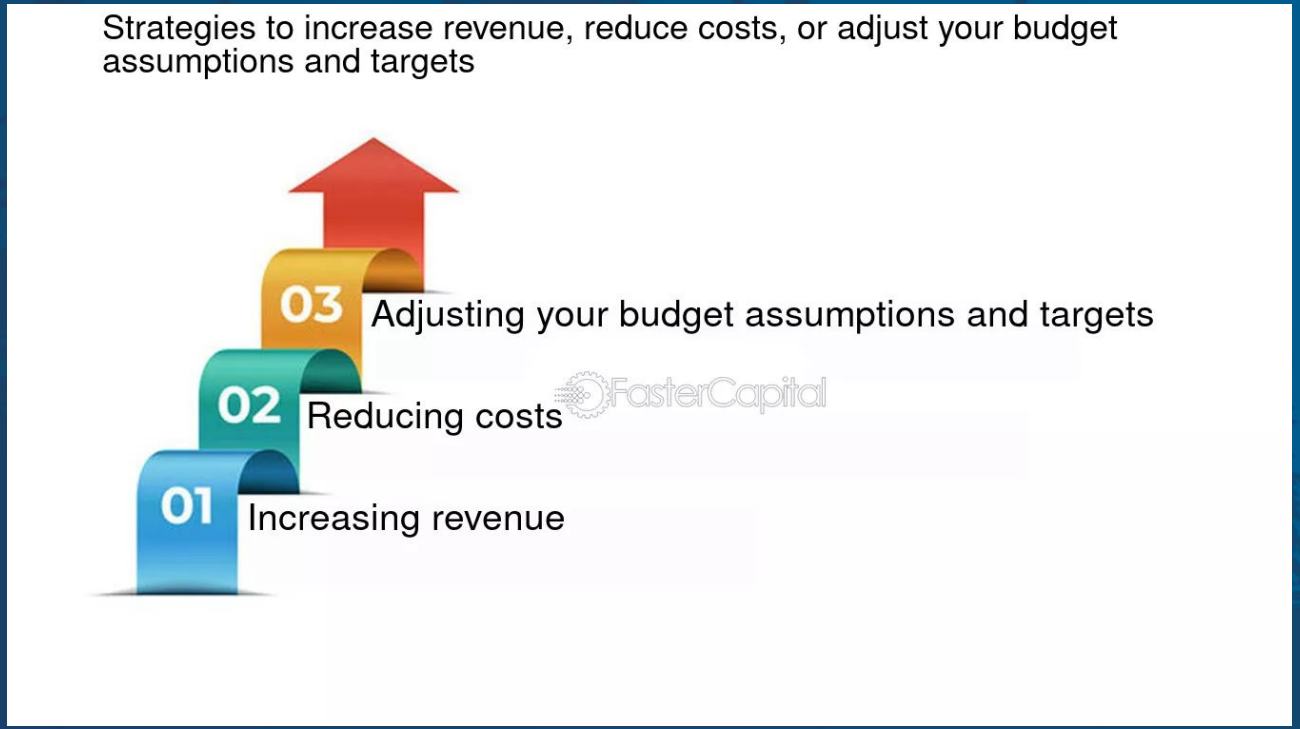
Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

Budget Calendar and Activities

March 10, 2026	***Budget Update***
March 31, 2026	***School Board Budget Work Session with CBRC*** Presentation on proposed strategic initiatives, community engagement findings, Q/A, facilitated discussion with CBRC
April 14, 2026	***Budget Committee Training (Full Board)***
April 28, 2026	***Budget Committee Meeting (School Board Work Session)*** *CBRC in attendance* **Proposed Budget:** Superintendent delivers 2026-27 Proposed Budget message and presentation
May 12, 2026	***School Board Meeting*** CBRC presents 2026-27 Proposed Budget Report to the Board Board discussion and feedback focused on the budget
May 19, 2026	***Budget Committee Meeting and Budget Work Session*** Board conducts a public hearing and work session on the Proposed Budget
May 26, 2026	***Budget Committee Meeting*** **Approved Budget**: Board as Budget Committee approves 2026-27 Proposed Budget
June 23, 2026	***TSCC Hearing (pending TSCC confirmation)*** TSCC certifies 2026-27 Approved Budget ***Budget Committee Meeting (School Board Meeting)*** **Adopted Budget:** Board conducts a public hearing, adopts budget, makes appropriations, and imposes taxes

Questions?

Michelle Morrison
Chief Financial Officer
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Appendix

Prior period highlights and reference slides.

Budget Principles

Principles create a shared understanding of the overarching values that underpin budget development.

- ➔ Providing students with an exceptional educational experience and ensuring their academic success should drive the budget process
- ➔ Decisions should be driven by data
- ➔ Base resourcing decisions on cost-effectiveness
- ➔ Prioritize the Core Program in all schools
- ➔ Critically re-examine patterns of spending
- ➔ Provide every student with equitable access
- ➔ Take a long-term perspective
- ➔ Be transparent

District Continuous Improvement Plan:
Four Goal Areas



ATTENDANCE

LITERACY

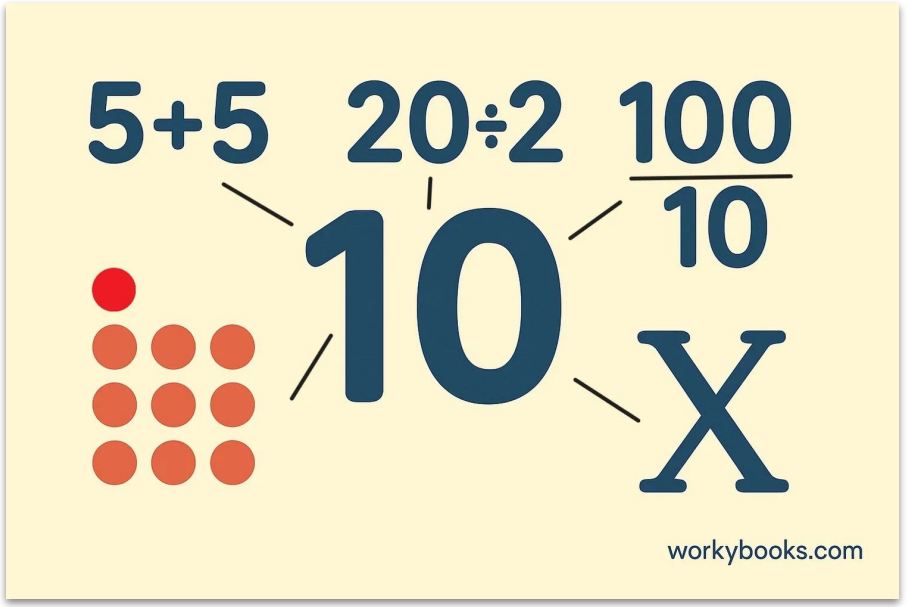
MATH

9TH GRADE SUCCESS

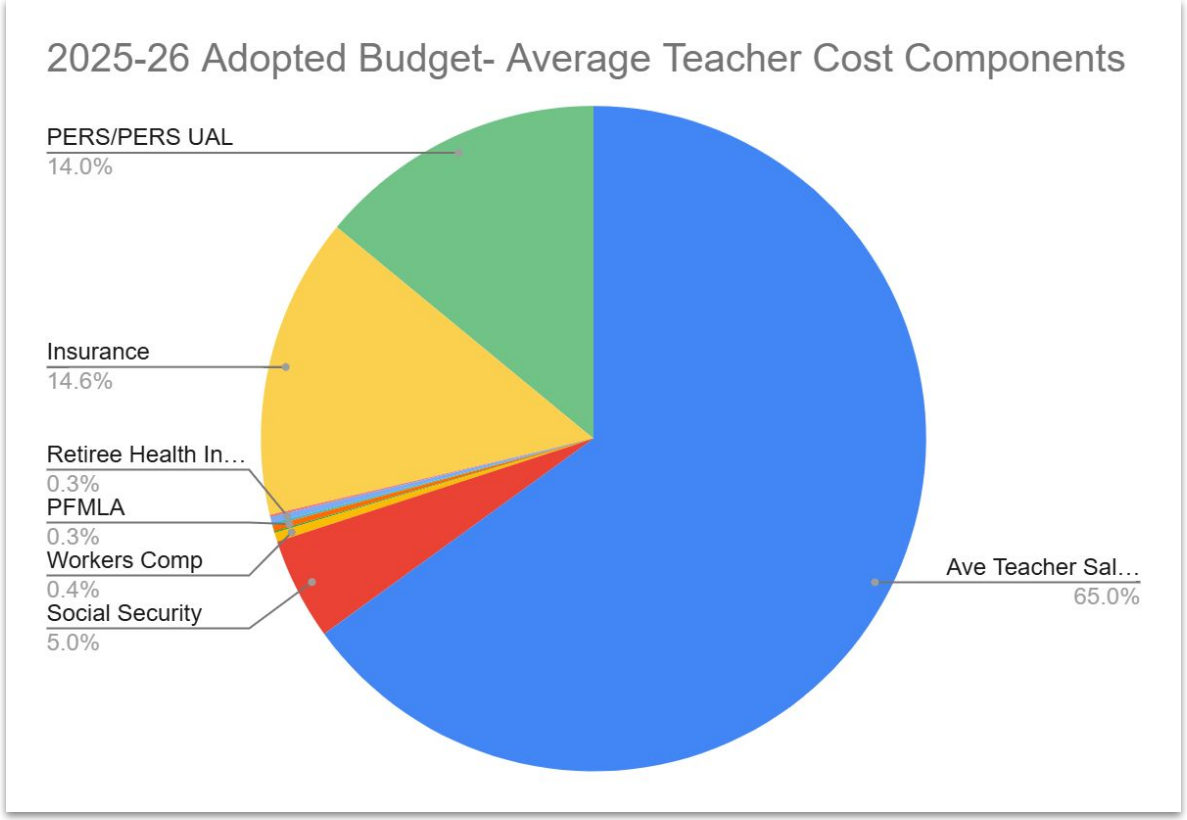
$50 million Budget Gap for 2026-27

Equivalent Values:

- $1,179 per student (42,404 students)
- 14.5 school days ($3.5 million each)
- 312.5 Educator FTEs ($160k each)
- 650 Paraeducators/Instructional Assistant FTE
- 12.5 Annual Elementary School operating budgets ($4.0 million each)
- + 3.0 Student to Classroom Teacher Ratio (averaged across system)



Board Information Requests



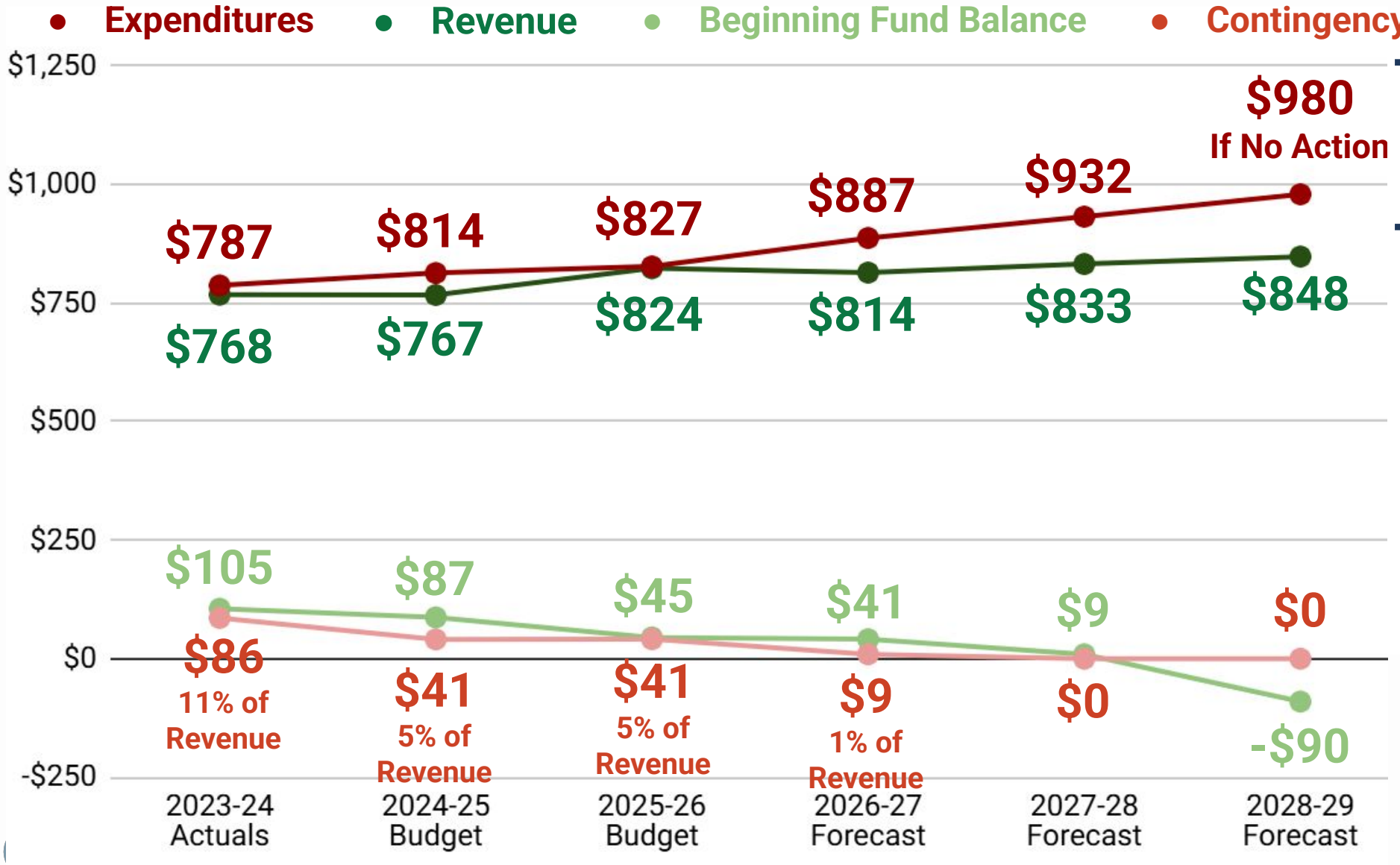
Ave Teacher Salary	$104,579
Social Security	$8,000
Workers Comp	$711
Unemployment Comp	$105
PFMLA	$471
Other Employer Paid Benefits	$188
Retiree Health Insurance	$492
Early Retirement Benefits	$167
Insurance	$23,561
PERS/PERS UAL	$22,578
Total Cost Per FTE	**$160,851**

Unfunded Mandates and Valuation

- Research based on COSA Legislative Reports
  - 2025, 2024
  - 2023, 2022, 2021
- Long-standing rules
  - Division 22 Requirements
  - FAPE (Free and Appropriate Education)
  - Participation in the Public Employee Retirement System
  - Providing equitable access and instruction to English Learners
  - Student Transportation and Access



2025-26 Projected General Fund (In Millions)

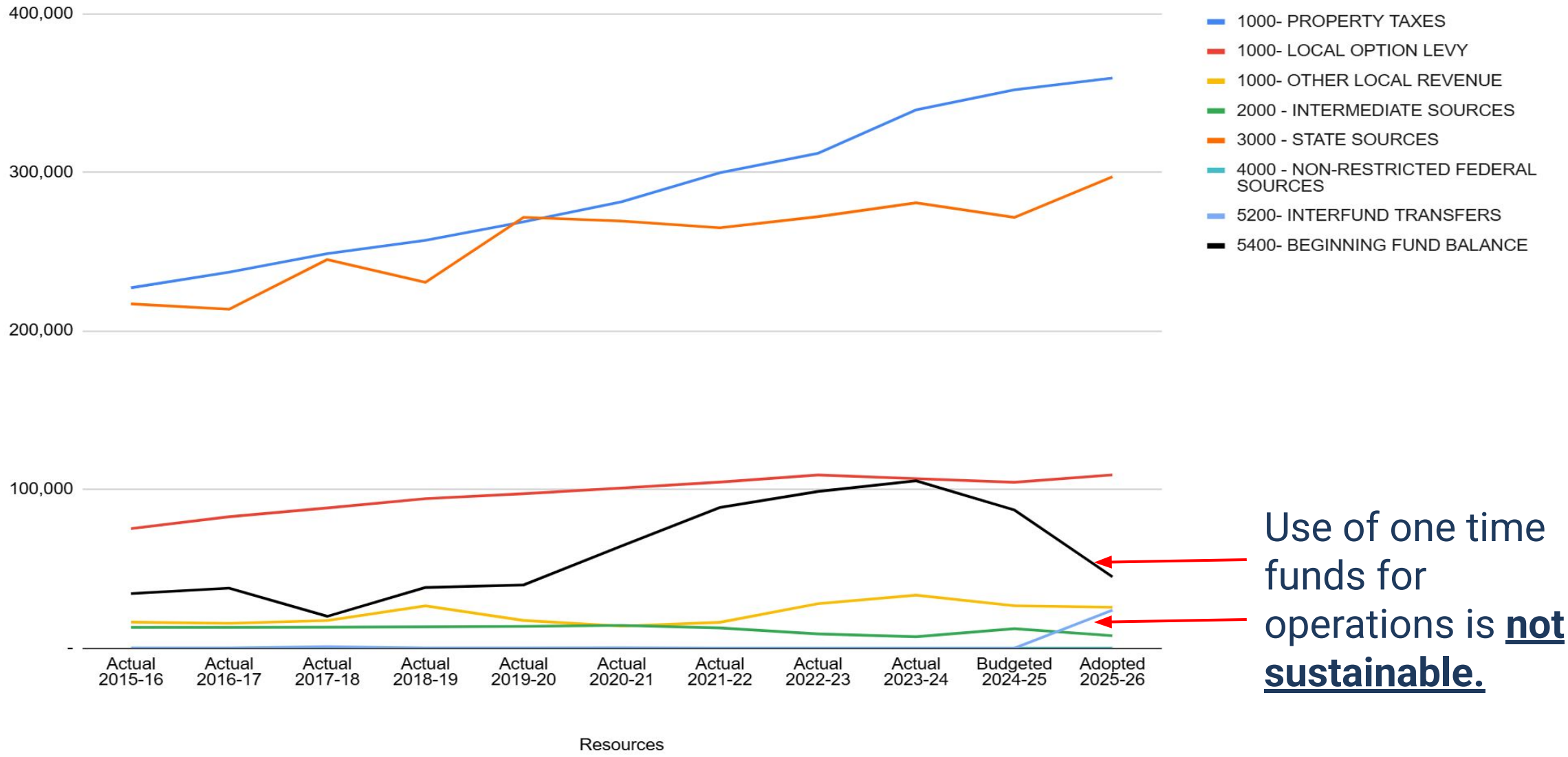


→ Expenses are increasing while revenue declines.

→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

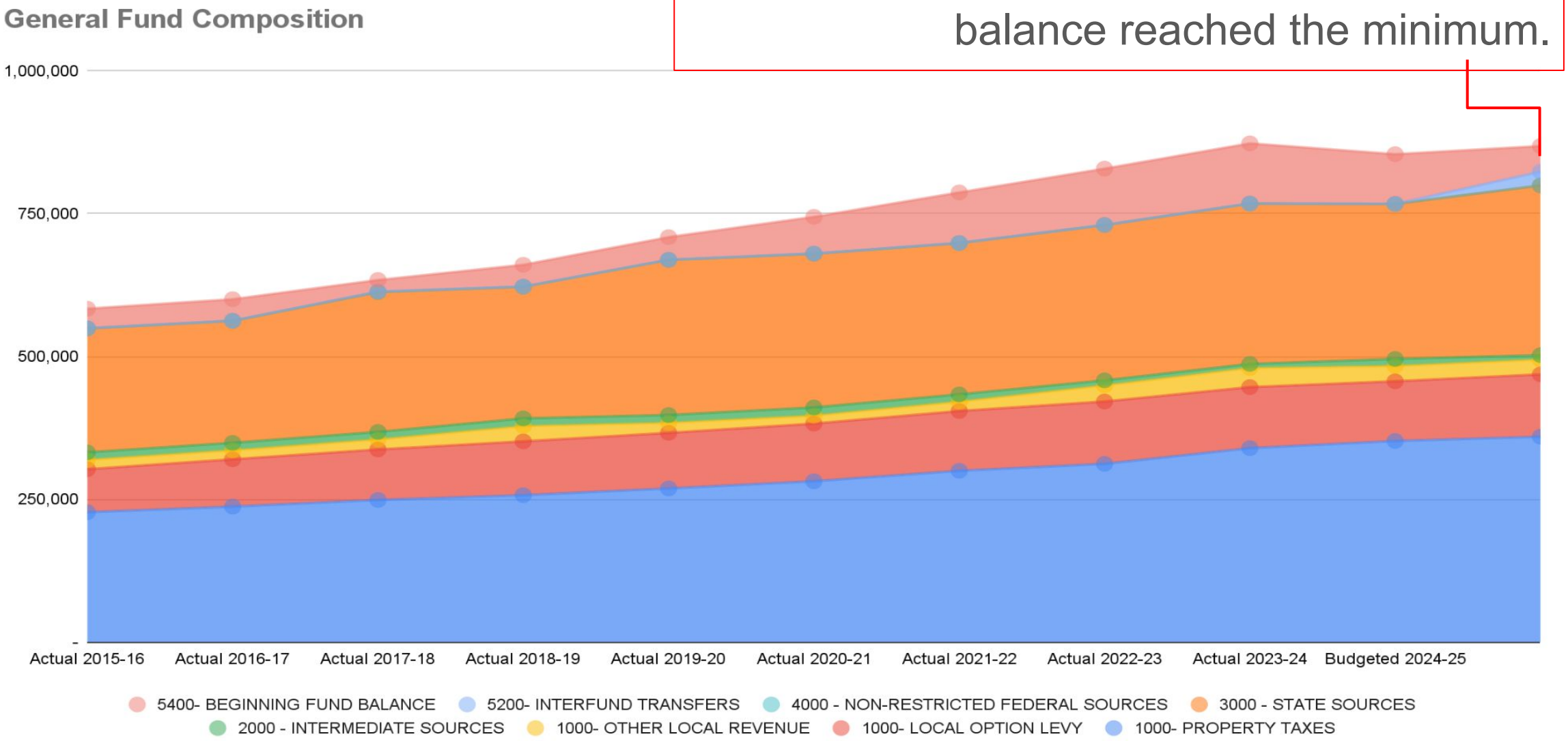
2015-16 to 2025-26 General Fund Revenue (In Thousands)



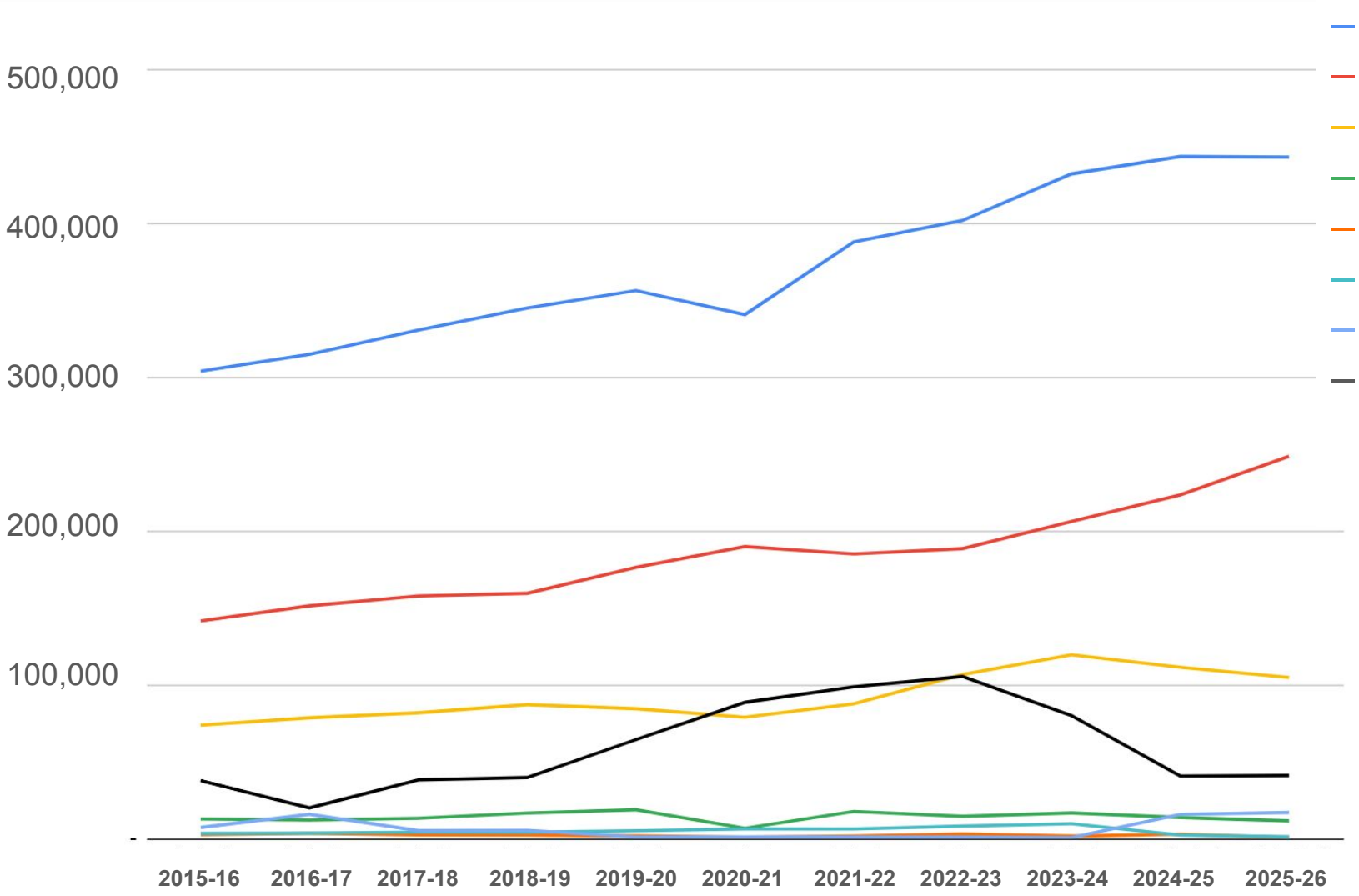
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

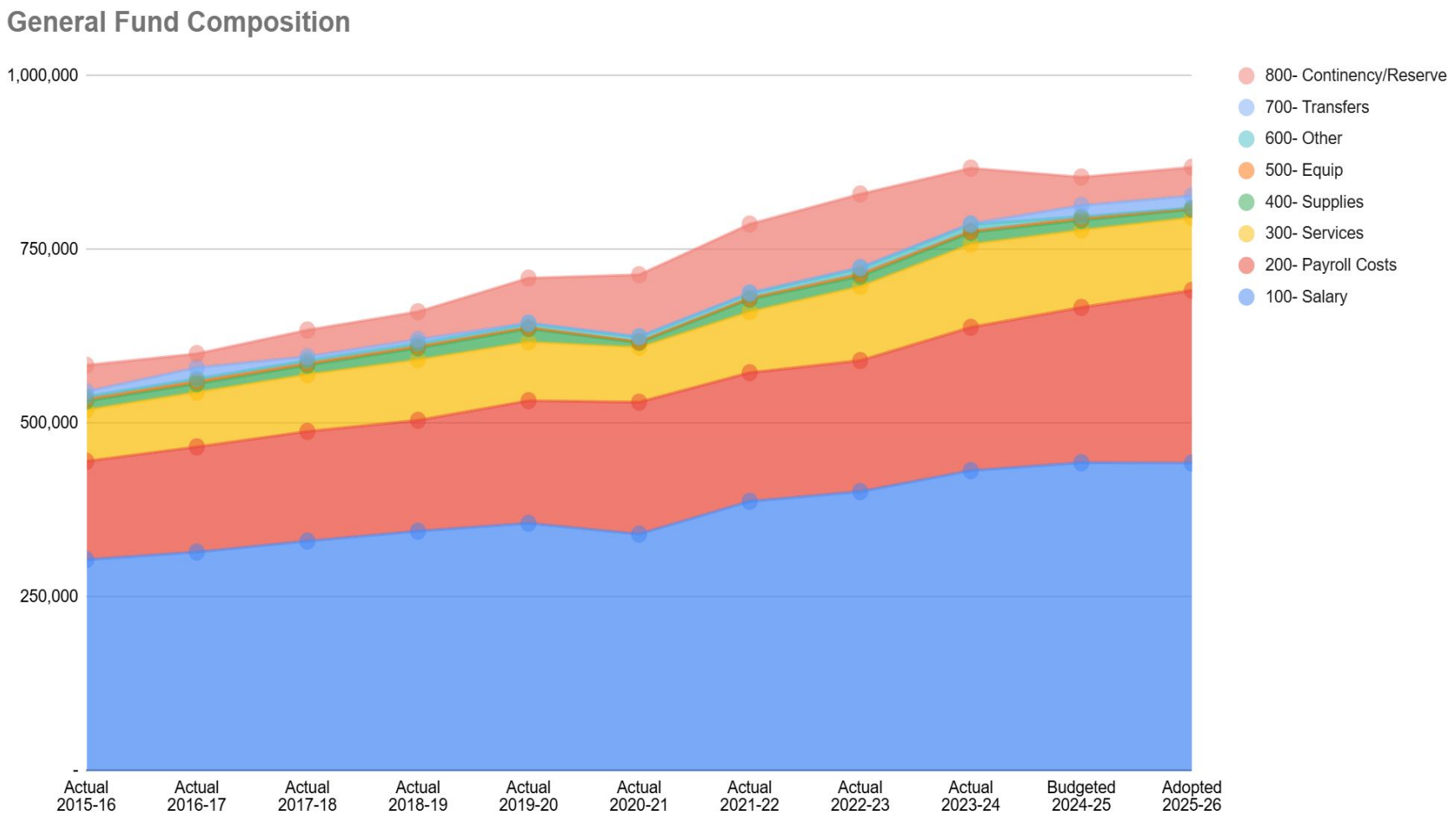


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.